

Grid Wire — 2026-06-18

Differentiated reads, not a news digest. Each item is a thesis: the consensus view, the cross-silo synthesis that contradicts or sharpens it, and the trade or tell to watch. Sourced facts are demoted to evidence beneath each call.

Tape since the last edition (06-17 → 06-18)

The fast-moving deltas, and which call each one sharpens:

- **Tentative US–Iran deal (~Jun 15):** 14-point framework to end the war, reopen Hormuz within 30 days, lift the naval blockade; signing slated Fri Jun 19. WTI fell below \$76 (lowest since early March) — but **Trump publicly disputed Iran's account of the terms** after a fresh drone attack, so it is not locked. *Sharpens item 8 / the Hormuz risk read

— *the war premium is unwinding faster than the deal is actually closing.**

- **EIA June STEO (Jun 16) raised Henry Hub** (2026 \$3.60, 2027 \$3.46) — and explicitly attributed it to higher *Permian associated-gas production*, not demand. *Reinforces item 1: associated gas is so abundant it caps the national benchmark while staying sub-zero at Waha

— *the molecule glut is structural.**

- **POWER Up Act (Lummis, Jun 16) + Cotton DATA Act:** a GOP push to put data-center grid access under FERC authority, plus a new off-grid "consumer-regulated electric utility" (CREU) category for fully behind-the-fence load. *Sharpens items 2 and 5

— *the off-grid lane is a statutory tailwind for on-site generation; the federal-vs-ERCOT control fight is the new front.**

- **FERC RM26-4 due by end of June:** the Commission committed to act on standardized >20 MW large-load interconnection (co-location, curtailment-for- speed, cost allocation). *The single nearest catalyst in this wire

— *~10 days out.**

1. The scarce asset in Permian gas isn't the molecule or the acreage — it's a 2027–28 turbine slot next to load

Consensus: negative Waha is a takeaway problem that 2H26–2027 pipelines fix; data centers need power; gas is the answer.

The read: three sourced facts only make sense together. (a) The Waha forward curve prices *negative* gas into 2028 — Summer-2027 strip –\$1.98, Winter '27-'28 –\$2.11 — i.e. the market does **not** believe the pipeline buildout resolves the glut. (b) GE Vernova has **~10 GW of turbine capacity left across 2029–2030 combined**, with new bids pricing 10–20 pts higher \$/kW and holding; Siemens sold out through FY2028. (c) Diamondback said it's "on the cusp" of monetizing gas into a power/data-center project worked for ~a year. Put together: stranded, sub-zero associated gas is abundant and worthless at the wellhead; load is desperate; the only thing standing between the two is a *machine you cannot buy until 2029*. The binding constraint is the turbine, and whoever already holds 2027–28 slots controls the spread between –\$2 gas and \$80+/MWh power.

The glut is structural, not transient: EIA's June 16 STEO *raised* Henry Hub (2026 \$3.60, 2027 \$3.46) and pinned the increase on **Permian associated-gas production, not demand** — so the same molecule that prints negative at Waha is abundant enough to cap the national benchmark. The proof of concept for the matching trade is already live: **Chevron–Microsoft's ~2.5 GW West Texas gas-to-power exclusivity** (scalable to 5 GW) turns stranded Permian gas directly into hyperscaler load behind the constraint.

Trade / tell: the highest-return Permian gas position is not the molecule — it's interconnection-adjacent land plus a turbine reservation. Watch which E&Ps quietly disclose Slot Reservation Agreements or behind-the-meter gen JVs

(FANG flagged one); that disclosure, not the drillbit, is the alpha.

Evidence: Aegis Hedging (forward/cash Waha), May–Jun 2026; EIA June STEO via Rigzone, 2026-06-16; Chevron–Microsoft W. Texas, Apr 2026; GE Vernova Q1 transcript / Utility Dive, Apr 2026; Diamondback Q1 transcript, May 2026.

2. Fuel cells, not reactors, fill the 2026–2029 power gap — and institutional capital just said so

Consensus: the "nuclear renaissance" powers the AI buildout.

The read: every nuclear path is dated past the gap. Oklo's ~15 GW book and Kairos-Google-TVA don't deliver until ~2030; the restarts are stuck on *paperwork*, not hardware (Palisades literally "cannot find the CMTR data" for three welds; Crane earns no full PJM capacity credit until 2027). Turbines are sold out to 2028–29. The only thing that ships into the 2026–2029 hole at scale is on-site generation — and the **Bloom/Oracle 2.8 GW SOFC master agreement (1.2 GW already underway) plus Brookfield's up-to-\$5B financing commitment** just validated solid-oxide fuel cells as a financeable asset class. That is the quiet winner the nuclear headlines are crowding out.

Policy is now bending toward this too: Cotton's DATA Act would create an off-grid "consumer-regulated electric utility" category — a statutory lane for fully behind-the-fence load that makes on-site generation the path of *least* regulatory resistance, exactly as FERC (PJM co-location) and ERCOT SB6 raise the cost of leaning on the grid.

Trade / tell: the bridge-power equity story migrates to SOFC and reciprocating engines for the next 36 months. Watch for the second and third hyperscaler SOFC master agreement and the first SOFC ABS/project-finance print — that's when the market reprices it from "science project" to infrastructure.

Evidence: Oklo/Kairos (Wikipedia); Palisades / Industrial Info, Feb 2026; Bloom-Oracle IR + DCD/Brookfield, Apr 2026.

3. The Meta/Blue Owl 16-year residual-value guarantee — not the \$27B — is the structural risk nobody's pricing

Consensus: Hyperion is a landmark \$29.5B financing; the template for the sector.

The read: the headline size is noise. The signal is *how* an A+ rating attached to a vehicle with a thin ~8–10% equity cushion: it required a **16-year Meta residual-value guarantee** absorbing tech-obsolescence risk. So the hyperscaler moved the asset off balance sheet but *kept the economic risk* via a contingent guarantee — synthetic leverage that the rating agencies blessed. GPUs depreciate over 3–5 years; the RVG runs 16. As the whole field copies the "template" (S&P/MS's word), the sector accumulates a stack of off-balance-sheet, long-dated obsolescence guarantees that no consolidated balance sheet shows. If GPU useful life compresses, these RVGs are the contingent liability that bites all at once.

Trade / tell: read the *guarantee structure*, not the deal size, in the next hyperscaler SPV. The tell is whether RVG tenor keeps stretching while equity cushions thin — that's the sector quietly leveraging up where credit analysts aren't looking.

Evidence: Global Data Center Hub (Hyperion structure), 2026.

4. Two unrelated regulatory footnotes hand a specific, dull supply chain the win

Consensus: OBBBA/FEOC and the tariffs are a generalized headwind for clean energy.

The read: cross two provisions nobody reads together. (a) The FEOC material-assistance calc **excludes iron and steel** — a carve-out for steel-heavy balance-of-system. (b) Section 232 **caps transformers/switchgear at 15%** through 2027 with a 15%-metal-content de minimis. Net: domestic steel-intensive BOS (racking, foundations, transmission structures) is structurally advantaged, while the genuinely binding scarcity across every section of this wire — solar, storage, gas, nuclear, data centers — is the same unglamorous box: the transformer. The edge isn't in modules, cells, or even turbines; it's in the BOS/transformer supply chain that the policy regime just quietly protected.

Trade / tell: transformer and switchgear lead times are the real load-growth governor. Watch domestic transformer order books and BOS margins — that's where the policy asymmetry cashes out, not in the panel.

Evidence: Nixon Peabody (FEOC MACR), Mar 2026; Green Worldwide (§232), 2026.

5. The ERCOT 2028–29 trade is sitting in plain sight — an IPP just told you which side it's on

Consensus: ERCOT's 233 GW interconnection queue is mostly phantom load; even ERCOT's own VP says "we don't expect all of those will materialize."

The read: that skepticism is *in the forward curve* — Constellation says the ERCOT 2028–29 strip "appears like something that's only expecting 10,000–15,000 MW" of load growth. And Constellation, with a real book, is positioned the other way: calling ERCOT "undervalued" for 2028–29 while staying "well hedged" near term. So you have the market believing ERCOT's official phantom-load skepticism, and one of the most sophisticated IPPs publicly fading it. That gap — curve vs. realized 2028 load — is the single cleanest ERCOT-specific position, and SB6 (which turns large loads into mandatory curtailable resources) is the mechanism that decides who's right by making "firm" load the scarce, premium product.

A new federal-vs-state control fight just opened the other flank: the **POWER Up Act (Jun 16)** would hand FERC approval authority over data-center grid connections, and **FERC's RM26-4 large-load order is due by end of June** — a ~10-day catalyst that could standardize co-location and curtailment-for-speed nationally and override ERCOT's own pace. Whoever wins that jurisdictional fight sets the rules that decide which side of the curve pays off.

Trade / tell: the spread between the ERCOT 2028–29 forward and realized interconnections is the position. Near-term, the RM26-4 order (end-June) and SB6 curtailment-docket adoption are the catalysts; the structural read is how much queue converts to *firm* (vs. interruptible) — firm load is what moves the curve.

Evidence: Constellation Q1 transcript (Investing.com), May 2026; Utility Dive (ERCOT queue), 2026; Perkins Coie (SB6), Mar 2026; NBC News (POWER Up Act), 2026-06-16; FERC RM26-4 docket, Jun 2026.

6. Brownfield gas is a call option on the turbine shortage — and it's still trading at intrinsic value

Consensus: brownfield PJM gas at \$743–1,327/kW is a cheap value play vs. \$2,000+/kW greenfield.

The read: the discount exists *because* you can't get a turbine to build greenfield until 2029–30. So an existing, interconnected gas plant isn't just cheap capacity — it's a call option on the turbine shortage, and the option is being sold near intrinsic value. As lead times extend and \$/kW on new bids keeps rising (GE Vernova +10–20 pts and climbing), brownfield should converge *up* toward replacement cost. The Talen/ECP (\$1,327/kW, ~6.6x 2027 EBITDA), Vistra/Lotus (\$743/kW), and NRG/LS Power (\$12B) rollups are buying this option; the sellers are handing over optionality for a multiple.

Trade / tell: the recognition signal is the next PJM/ERCOT brownfield gas deal printing above ~\$1,500/kW. That's the moment the arb is acknowledged and the discount window closes.

7. The death of green hydrogen quietly created a coherent Permian monetization stack

Consensus: OBBBA gutting 45V is bad for hydrogen, full stop.

The read: 45V (green H2) is dead; **45Q (carbon capture) survived at \$85/ton**, which doesn't kill hydrogen — it relocates it to where there's CO2 storage and cheap gas: the Gulf Coast and Permian. Blue hydrogen/ammonia now **beats** green on policy, not just cost. Tie it back to item 1: negative-Waha gas + 45Q sequestration + blue-ammonia export is a single coherent thesis that turns the stranded-gas problem into a monetization path. CF Industries' ~\$100M/yr 45Q free-cash stream off Donaldsonville is the live comp that proves the cash flow is real, not a tax abstraction.

Trade / tell: watch Gulf Coast/Permian blue-ammonia FIDs and 45Q transfer-credit pricing. The connective insight — stranded gas finds a home in blue molecules — is the differentiated way to be long Permian gas without being long the Waha price.

Evidence: ING Think (45V/blue H2), 2026; IRS Notice 2026-01 + Beancount.io (45Q), 2026.

8. The "datacenter-in-space" filing is a real tell — about how unsolvable terrestrial siting looks to the people closest to demand

Consensus: orbital data centers are sci-fi; ignore.

The read: the point isn't feasibility. It's that SpaceX filed for **100 GW of orbital compute (~20% of US electricity)** three days before the xAI merger closed, and Meta reserved up to 1 GW of space-based solar with first transmission not until 2028. When the parties closest to compute demand are spending real filing/reservation capital on exotic off-planet power, that is a revealed preference about how constrained they believe **terrestrial** power-adjacent land is. For a land/resource investor that's the signal: the scarce, bid-up asset is the terrestrial parcel with fiber + water + gas + interconnection, and the smart money is hedging into orbit precisely because the ground solution is so tight.

Trade / tell: treat orbital-compute and space-solar announcements as a sentiment gauge on terrestrial siting scarcity, inversely. Every serious orbital filing is a vote that prime power-adjacent land gets **more** valuable, not less.

Evidence: SpaceNews (SpaceX FCC filing), Jan 2026; TechCrunch (Meta/Overview), Apr 2026.

What would change these calls

- **Item 1/6 invalidated** if turbine OEMs add 2027–28 capacity (new plants, refurb lines) faster than orders
— *the slot scarcity is the load-bearing assumption.*
 - **Item 2** weakens if a restart actually energizes on schedule or an SMR pulls a delivery date into 2028.
 - **Item 3** is benign as long as GPU useful life holds at 5+ years; it only bites on obsolescence acceleration.
 - **Item 5** resolves against Constellation if SB6 curtailment rules let ERCOT treat most queue load as interruptible
— *capping the firm-load premium.*
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Evidence ledger (the underlying footnotes)

The sourced facts these calls are built on. Useful as comps even where the thesis above is the actual product.

- **Permian ops:** Permian Resources shutting high-GOR wells, realized gas \$1.33/Mcf, D&C \$685/ft, firm transport 400→700+ MMcf/d (Motley Fool, 2026-06-01). Diamondback drilling \$300/ft, surfactant uplift "0 to 400–500 bbl/d," moving Waha to physical hedges (Insider Monkey, 2026-05-05). APA curtailed ~88 MMcf/d + 6,800 bbl/d NGLs, US gas –\$0.35/Mcf (StockTitan, 2026). EOG cutting Dorado dry gas ~1 Bcf/d→800 MMcf/d, redeploying to oil (Motley Fool, 2026-05-06).
- **Waha/egress:** 89 straight negative sessions; Hugh Brinson \$2.7B/2.2 Bcf/d; Blackcomb 2.5 Bcf/d Q3 (WhiteWater 50.6/MPLX 30.4/Enbridge 19) (NGI; OGJ, 2026).
- **M&A comps:** WES/Brazos \$1.6B ~8.0x 2027E EBITDA, *closed Jun 11* (~\$800M cash + 19.4M units); Viper/Sitio \$4.1B / ~25,300 royalty acres; SM/Galvan Ranch \$950M / 60k acres + 260 wells; Talen/ECP \$1,327/kW ~6.6x; Vistra/Lotus \$743/kW; NextEra/Dominion \$67B (0.8138 ratio); NRG/LS Power \$12B. New (Jun): NGS/Flatrock Compression \$120M (Jun 15, Permian/Eagle Ford); ARLP/Alldale Minerals III & IV ~\$206.2M (Jun 8, ~48,500 net royalty acres, Permian ~7,300 NRAs) (various IR/SEC 8-Ks / Mercer / NGI, 2026).
- **Data centers:** Microsoft GPUs idle for lack of power, ~\$80B Azure backlog (DCD, Apr 2026). Meta capex \$125–145B (RBN). Bloom/Oracle 2.8 GW SOFC + Brookfield \$5B (Bloom IR/DCD). Stargate Abilene 600 MW expansion scrapped, Meta in talks to absorb (Tom's Hardware, 2026).
- **Turbines:** GE Vernova 100 GW backlog, ~10 GW left 2029–30, bids +10–20 pts \$/kW; Siemens sold out to FY2028, €154B backlog (Investing.com; Utility Dive; DailyPolitical, 2026).
- **Nuclear:** Antares Mark-0 microreactor reached criticality (~week of Jun 8)
— a rare in-window fission milestone, but still a test unit, not grid capacity; Oklo Aurora powerhouse PDSA Jun 11; TerraPower Kemmerer NRC permit Mar 4; Palisades missing CMTR weld data; Talen/AWS FOM 1,920 MW / ~\$18B / 17-yr (NucNet; Industrial Info; Investing.com, 2026).
- **LNG:** Delfin FLNG 1 FID (Jun 3) ~\$5B / 4.4 mtpa, **BlackRock GIP-led** (Mitsui, Vitol, Diamond Capital), HH-indexed offtake (Expand, Chesapeake); all 2026 global liquefaction FIDs have been US, YTD >31 bcm/yr (CP2 Ph2, Commonwealth, Delfin) (S&P Global; Offshore Energy, Jun 2026).
- **Policy/tax:** Notice 2025-42 vacated Jun 6 (5% safe harbor restored); July 4, 2026 begin-construction / Dec 31, 2027 PIS cliff; FEOC MACR 40/45/60%, iron & steel excluded; §232 grid equipment capped 15% to 2027; FERC PJM co-location BTM materiality threshold (McGuireWoods; Nixon Peabody; Green Worldwide; Mintz).
- **Geopolitics:** tentative US–Iran 14-pt deal (~Jun 15) to reopen Hormuz within 30 days, signing slated Jun 19 but Trump disputing terms after a fresh drone attack; WTI <\$76 (lowest since early March), Brent ~\$79; IEA flags supply +8 MMB/d by 2027 vs +2 demand; OPEC+ 4th hike +188 kb/d Jul; China critical-minerals controls suspended only to Nov 10, 2026 (CNBC; NBC News; TradingEconomics; The National; Pillsbury, Jun 2026).
- **Capital markets:** Nvidia \$25B IG, book ~\$85B; **Apollo–Broadcom \$35B (Jun 9)** — another AI-infra mega-financing; AI borrowers ~\$300B YTD; Meta/Blue Owl \$29.5B (80/20, A+ +225 bp, 16-yr RVG); data-center ABS –60 bp, CloudHQ AAA +125 bp; **Cheniere Partners \$2B senior notes (~Jun 9): 5.350% 2036s / 6.050% 2056s**
— fresh IG midstream curve (BBB E&P/midstream 10-yr ~5.30–5.50%); Brookfield BGTF II \$20B; KKR infra V \$12.5B (TechTimes; Global Data Center Hub; Green Street; Investing.com; Infrastructure Investor, 2026).
- **Renewables/cleantech:** transfer market ~\$42B (+50% YoY), Sunrun "\$25M per penny"; Equinor \$955M offshore impairment; ERCOT battery M&A +60% YoY; Fervo Cape Station \$421M non-recourse incl. \$61M ITC bridge (Insider Monkey; Crux; Barchart; FTI; POWER, 2026).
- **Space:** Starbase annexing 7,133 acres + 715-acre refuge swap; SpaceX 100 GW orbital-compute FCC filing; Meta/Overview 1 GW space-solar; Interlune He-3 offtake up to \$300M (RGV Business Journal; SpaceNews; TechCrunch, 2026).

Confidence notes

Current through 2026-06-18. Items 1–8 are analytical synthesis — my reads across sourced facts, not reported claims. The underlying facts carry inline attributions. Two live items are moving intraday and may be stale by the time you read this: the **US–Iran/Hormuz deal** (signing slated Jun 19 but terms disputed — treat as not closed) and **oil prices**. The **FERC RM26-4** order is expected within ~10 days and will date this edition when it lands. A few figures rest on search-index extraction vs. full-text fetch (publisher 403s): Nvidia \$25B/\$85B, Apollo–Broadcom \$35B, data-center ABS spreads, the Meta/Blue Owl +225 bp / 16-yr RVG (cross-consistent; worth an offering-memo check before quoting verbatim), and the SpaceX refuge swap (cross-confirmed via FWS).